



Homeowners  
137 08 20  
HO XXXXXXXX

**THIS ENDORSEMENT CHANGES YOUR POLICY. PLEASE READ IT CAREFULLY.**

## CONTRACT OF SALE CLAUSE

|                                                |                                             |                    |                                       |
|------------------------------------------------|---------------------------------------------|--------------------|---------------------------------------|
| Dated                                          | Attached to and<br>Forming Part of          | Policy No.         | Name of Insurance Company             |
| <b>XX/XX/XX</b>                                |                                             | <b>HO XXXXXXXX</b> | <b>PEMCO Mutual Insurance Company</b> |
| Issued to (Insured's Name and Mailing Address) |                                             |                    |                                       |
| <b>XXXXXXXXXXXXXXXXXXXXXX</b>                  |                                             |                    |                                       |
| <b>XXXXXXXXXXXXXXXXXXXXXX</b>                  |                                             |                    |                                       |
| <b>XXXXXXXXXXXXXXXXXXXXXX</b>                  |                                             |                    |                                       |
| Agency at                                      | Signed                                      |                    |                                       |
| <b>Seattle, Washington</b>                     | <b>PEMCO Mutual Insurance Company</b> Agent |                    |                                       |

It is understood that **XXXXXXXXXXXXXXXXXXXXXX** (hereinafter termed Vendee) has an interest in the property described under coverage(s) **A** and **B** of this policy, by virtue of contract of sale from **XXXXXXXXXXXXXX** (hereinafter termed Vendor), whose mailing address is **XXXXXXXXXXXXXXXXXXXXXXXXXXXXXXXXXXXXXX**.

If loss under this policy be payable to a mortgagee, trustee or beneficiary under deed of trust, the proceeds of this policy shall be first applied to the payment of such payee's interest, and the balance, if any, subject to all the terms and conditions of this policy, shall be payable to said vendor and/or said vendee in the manner hereinafter provided in paragraphs designated "First" and "Second" hereof. If this policy be not payable to a mortgagee, trustee or beneficiary under deed of trust, the proceeds of this policy, subject to all its terms and conditions, shall be payable to said vendor and/or said vendee as follows:

FIRST: To said Vendor, to an amount not exceeding the balance unpaid, at the time of loss, upon the contract of sale above referred to; and

SECOND: The balance, if any, to said Vendee.

PROVIDED ALWAYS, HOWEVER, THAT IN NO EVENT SHALL ANY OF THE ABOVE PAYMENTS, OR THE AGGREGATE THEREOF, EXCEED THE AMOUNT FOR WHICH THIS POLICY IS WRITTEN, OR THE AMOUNT FOR WHICH THIS COMPANY MAY BE LIABLE ON ANY LOSS THEREUNDER; AND PROVIDED FURTHER, THAT IF AT THE TIME OF ANY LOSS HEREUNDER THERE BE OTHER INSURANCE, WHETHER VALID OR NOT, UPON THE PROPERTY DESCRIBED UNDER THE ITEM(S) SPECIFIED IN THIS CONTRACT OF SALE CLAUSE, THIS COMPANY SHALL NOT BE LIABLE UNDER THIS POLICY FOR A GREATER PROPORTION OF ANY LOSS ON SAID PROPERTY THAN THE AMOUNT INSURED BY THIS POLICY UNDER SUCH ITEM(S) BEARS TO THE ENTIRE INSURANCE COVERING SUCH PROPERTY, ISSUED TO OR HELD BY ANY PARTY OR PARTIES HAVING AN INSURABLE INTEREST THEREIN AS VENDOR, VENDEE, MORTGAGEE, TRUSTEE OR BENEFICIARY UNDER DEED OF TRUST.

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